



MUKUND CHOUDHURY, SPENTEX

ACQUIRED: Tashkent To'yetpa Tekstil for \$81 million in 2006 and Schoeller Litvinov K.S. in the Czech Republic for \$25 million in 2007. **RATIONALE:** Spentex has become the largest spinning enterprise, with 5.70 lakh spindles per year. **GLOBAL REVENUES:** Rs 750 crore

"Having a presence in different countries gives companies a currency hedge."

SHRIYA PATIL SHINDE



MEHUL CHOKSI, GITANJALI GEMS

ACQUIRED: US retail chains Samuels and Rogers in 2006 for \$18.5 million and \$23 million respectively; 70 per cent in Tri Star for \$5 million last year. **RATIONALE:** Buying up large jewellery chains has boosted the company's retail presence in the US and facilitated sourcing of diamonds. **GLOBAL REVENUES:** Rs 750 crore

"We want to be the number one integrated jewellery retailer in the United States."

cheap raw material and a ready base of buyers. Who says size matters when it comes to global ambitions? From rose farmers to yarn-makers, India's small and medium-sized enterprises (SMEs) are busy buying assets across Europe, Africa and the Americas to gain scale and presence in new markets.

Rose cultivation may be a far cry from Karuturi's family business of cables and transmission towers, but his entrepreneurial zeal and a favourable economic environment helped him breach mental and geographical barriers. Choudhury believes that acquisitions are a "win-win" situation for Indian companies. "The costs of raw material and manufacturing in Uzbekistan are low. We export over 90 per cent of our products from there. This acquisition gives us a large market share in the Commonwealth of Independent States and Turkey. Having a presence in different geographies gives companies a natural currency hedge," he says. So if the rupee rises in India, exporters with a presence in other low-cost countries can offset losses from operations outside India.

Thanks to easier funding options and a weak business sentiment in developed economies, Indian companies have made 2007 a watershed year for mergers and acquisitions (M&A)—660 M&A transactions were announced in the year, a growth of 150 per cent over the previous year. Cross-border deals accounted for 381 transactions (57.7 per cent), with a cumulative transaction value of over €42.6 billion (Rs 2.77 lakh crore) of the total value of M&A transactions involving Indian businesses. Over two-thirds of these transactions were by SMEs. The Indo-Europe corridor recorded 151 transactions, totalling €28.9 billion (Rs 1.88 lakh crore) in value and accounting for more than 50 per cent of the total cross-border M&A activity. The level of M&A activity between India and Europe increased at a CAGR of close to 100 per cent between 2004 and 2007, while the average transaction size increased from €57 million (Rs 370 crore) in 2004 to €259 million (Rs 1,684 crore).

The number of strategic acquisitions made by Indian companies in Europe in 2007 is comparable to the number of investments made by European companies in India. An M&A report by consulting firm Avendus shows that in 2007, there were 79 outbound transactions totalling €13.7 billion (Rs 89,100 crore, excluding the Tata-Corus deal), while the 72 inbound transactions totalled €15.2 billion (Rs 98,800, excluding the Vodafone transaction). The average size of an outbound transaction stands at €90.8 million (Rs 590 crore) while that of an inbound transaction size is €65.3 million